

Onward Technologies Ltd

Concall-Tracker report · Screener ticker ONWARDTEC (NSE: ONWARDTEC, BSE: 517536) · 12 earnings-call transcripts read (FY24 → Q1 FY27) · all figures CONSOLIDATED · prepared 31 Aug 2026

A note on which numbers are used. Screener's default series for this company is **standalone** (Indian entity only) and shows Q1 FY27 revenue of ~₹112 cr. Management reports and discusses **consolidated** numbers, which include the US, Europe and Canada subsidiaries, and put the same quarter at **₹151.2 cr**. Roughly a quarter of this business sits outside the standalone accounts. **Every figure in this report is consolidated** unless stated. On a consolidated basis the shares trade at ~14.4× earnings, not the ~19× the standalone page implies.

1. Snapshot

What the business does (one line): Onward Technologies is an **engineering research-and-development (ER&D) services** firm — global industrial companies hire its engineers to design their products for them, covering mechanical design, embedded software (the code inside machines) and digital engineering. In plain terms: it rents out specialist engineering brainpower, mostly from India, to manufacturers in America and Europe, and gets paid largely by the hour.

Figure	Value	Plain-English read
Market capitalisation	₹649 cr (price ₹290)	What the whole company is worth on the stock market. The share has ranged ₹208–357 over the past year.
Price-to-earnings / dividend	14.4× ; dividend yield 2.76%	About 14 times last year's profit, with a real dividend — roughly 41% of profit is paid out. Undemanding for a services company growing profit this fast.
Q1 FY27 revenue (Jun'26 qtr)	₹151.2 cr, up 11.5% YoY	The highest quarterly revenue in the company's history and the first time it has crossed ₹150 cr. Up 8.7% on the March quarter.
Q1 FY27 operating profit	₹18.4 cr, margin 12.3%	Up 20% on the March quarter and 113 basis points better sequentially — but <i>down</i> from ~13% in the same quarter last year.
Q1 FY27 net profit	₹11.2 cr, up 16.9% QoQ — but down ~14% YoY	Worth pausing on. Against the June 2025 quarter's ~₹13 cr, profit fell , even though revenue rose 11.5%. Higher depreciation and a higher tax rate absorbed the gain.
FY26 (full year)	₹550 cr revenue, ₹71.9 cr EBITDA, ~₹44 cr profit	A genuinely excellent year: revenue up 10.5%, operating profit up 60.9% and profit after tax up 72.3%. Operating margin 13.2%, the best in the company's history.
Four-year track record	Revenue CAGR 15.3%; EBITDA CAGR 35.4%	Management's own figures — and achieved with headcount roughly flat at ~2,500 people. This is the operating-leverage story in one line: more revenue per engineer, not more engineers.
Return on capital	ROCE 22.9%; ROE 19.5%	For every ₹100 of capital the business earns about ₹23 a year before tax. Healthy, as you would expect from an asset-light services model.
Cash and debt	Cash ₹127.3 cr; borrowings ~₹40 cr	

		Net cash, and the cash pile is the largest in company history — up from ₹48 cr two years ago. It funded the first-ever share buyback this quarter.
Client concentration	Top 25 clients = 87–88% of revenue	The single biggest risk in the business. Nearly nine rupees in ten come from 25 relationships; losing two or three would hurt badly.

2. Concall coverage

Twelve consecutive quarterly earnings-call transcripts were read, oldest to newest — a clean three-year run to the latest call. The Managing Director, Jigar Mehta, presents on every one, usually alone.

Quarter	Call date	Consolidated revenue / margin	Read?
Q4 & FY24 (Mar 2024)	17 May 2024	₹118 cr · 8.2%	Yes
Q1 FY25 (Jun 2024)	Jul 2024	₹118 cr · 10%	Yes
Q2 FY25 (Sep 2024)	Oct 2024	₹123 cr · 6%	Yes
Q3 FY25 (Dec 2024)	Jan 2025	₹123 cr · 9%	Yes
Q4 & FY25 (Mar 2025)	May 2025	₹127 cr · 11%	Yes
Q1 FY26 (Jun 2025)	16 Jul 2025	₹135.6 cr · 13%	Yes
Q2 FY26 (Sep 2025)	Oct 2025	₹139 cr · 14%	Yes
Q3 FY26 (Dec 2025)	Jan 2026	₹135 cr · 15%	Yes
Q4 & FY26 (Mar 2026)	05 May 2026	₹139 cr · 11.2%	Yes
Q1 FY27 (Jun 2026)	16 Jul 2026	₹151.2 cr · 12.3%	Yes — latest

Span: three years of quarterly calls. Screener carries no transcripts for several 2019–2023 calls, all of which fall outside the window graded here. Transcripts are filed promptly with both exchanges.

2b. Latest concall highlights — Q1 FY27 (call held 16 Jul 2026) ★

- **Record revenue, crossing a milestone: ₹151.2 cr**, up 11.5% year-on-year and 8.7% sequentially — the first time the company has passed ₹150 cr in a quarter. EBITDA ₹18.4 cr, up 20% sequentially with margin up 113 basis points to 12.3%.
- **The profit line deserves a closer look.** Management reported PAT of ₹11.2 cr, "up 16.9% sequentially". Measured year-on-year, against ₹13 cr in the June 2025 quarter, **profit actually declined** — and operating margin was lower too (12.3% versus ~13%). Revenue grew ₹16 cr year-on-year but operating profit grew barely ₹1 cr, with higher depreciation and a higher tax rate taking the rest. The company chose the year-on-year frame for revenue and the sequential frame for profit.
- **Genuinely good forward indicators:** a **₹33 cr contract** won with a leading North American power-management company; customers billing over \$1 million a year rose from **16 to 18**; and, most striking, management said **this year's order book (annual contract value) has already crossed the whole of last year's revenue**. Management stressed the quarter was "not driven by a single client, a single geography or a one-time event".
- **First-ever buyback completed** during the quarter, with promoters deliberately not participating — exactly as they had committed. Attrition is at a record low of about 14.85%.
- **The honest constraints, raised by analysts:** employee cost runs at **70–75% of revenue against roughly 65% for peers**; the top 25 clients are 87–88% of revenue; 80–90% of work is billed by time-and-materials rather than fixed price; and the "mid-to-high teens" EBITDA margin the company aspires to remains some

way from the 12–13% actually being earned. Management's stated route there is more offshore delivery and growing existing accounts toward \$10 million each.

2c. Business mix & capacity (quick facts)

Domestic vs export: this is **overwhelmingly an export business** — North America and Europe are the markets, and the company deliberately exited its low-margin domestic IT-staffing (ITS) volume business in FY24 to focus on them. Delivery centres in Mumbai, Pune, Chennai, Bengaluru and Hyderabad; client-facing offices in Chicago, Detroit, Birmingham, Munich and Toronto. The consolidated-versus-standalone gap noted at the top of this report is essentially the overseas half of the business.

Segment mix: three lines of business — mechanical engineering, embedded software, and digital. By vertical, industrial was ~37% of revenue with healthcare the newest at ~8% and, management says, capable of growing 20–50% a year. The stated growth focus is data centres, AI-enabled engineering, software-defined products and energy. Around 16% of revenue is fixed-price work; management expects to stay at 80–90% time-and-materials this year.

Capacity utilisation: for a services firm, capacity is people and desks. Headcount has been held **roughly flat at ~2,500** for four years while revenue grew at a 15.3% CAGR — that is the utilisation story. The Chennai design centre had been **100% occupied**, blocking hiring, so new space was added with the aim of taking Chennai headcount toward 2,000. Management's stated productivity goal is revenue per employee of **₹30–40 lakh**, which on ~2,500 people implies a **₹750–1,000 cr** revenue business — against ₹550 cr today. Plain read: the ambition is to roughly double revenue without doubling the workforce.

3. Earning Trigger thesis ★

The driver is **operating leverage, not volume growth** — and management has been refreshingly explicit that this is the plan. Over four years revenue compounded at 15.3% a year while operating profit compounded at 35.4%, with headcount essentially unchanged at ~2,500. The mechanism has three parts: exiting the low-margin domestic IT-staffing business to concentrate on ER&D; shifting delivery offshore to India where the same work costs less; and "account mining" — growing existing clients rather than chasing new ones, with the count of \$1 million-plus customers rising to 18 and a stated belief that most could eventually reach \$10 million. FY26 was the proof year: revenue up 10.5% but operating profit up 60.9% and net profit up 72.3%. What gives the thesis forward credibility is that the order book for FY27 has already exceeded the whole of FY26's revenue. What holds it back is that the mechanism visibly stalled in the most recent quarter — ₹16 cr of extra year-on-year revenue produced only about ₹1 cr of extra operating profit.

Trigger	What management said	Evidence so far	Horizon	Strength
Operating leverage at flat headcount	Grow revenue per employee to ₹30–40 lakh; double-digit revenue <i>and</i> double-digit EBITDA growth annually	Demonstrated over four years — revenue CAGR 15.3% vs EBITDA CAGR 35.4%, headcount flat. FY26 was emphatic. But Q1 FY27's incremental margin was poor	Multi-year	Strong
Order book / ACV visibility	FY27 annual contract value has already crossed FY26's full-year revenue	A concrete, checkable forward indicator — the strongest single statement made on the latest call	FY27	Strong
Account mining to \$10m clients	\$1m+ customers 16 → 18; "majority of our customers, if not all, have	Rising steadily, and a ₹33 cr North American win this quarter. But top 25 clients are already 88% of revenue —	Multi-year	Moderate

	the potential to reach \$10 million"	growth and concentration rise together		
Offshore delivery shift	Named as the main route to margin expansion; Chennai capacity expanded toward 2,000 people	Chennai was at 100% occupancy and has been expanded — a real constraint genuinely removed	FY27–FY28	Moderate
Margin to mid-to-high teens	Repeated aspiration across several calls	13.2% in FY26 (a record) and 12.3% in Q1 FY27 — improving, but the target has been discussed for years without arriving	Unclear	Moderate
New verticals: healthcare, digital/ AI, data centres, energy	Healthcare "can grow anywhere from 20% to 50% year-on-year"; building capability for AI, data centres and energy	Healthcare was ~8% of revenue and growing. The AI/data-centre positioning is stated ambition, not yet a disclosed revenue line	FY27+	Unproven
Cost structure (headwind)	Acknowledged: employee cost 70–75% of revenue against ~65% for peers	Structural gap versus larger ER&D firms — the direct reason margin sits at 12–13% rather than the mid-to-high teens	Ongoing	Caps upside
Client concentration (headwind)	Top 25 clients 87–88% of revenue	Unchanged and, if account mining works as intended, likely to <i>increase</i>	Structural	Key risk

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24	Exit the low-margin domestic IT-staffing business and refocus on ER&D and digital	Done. Headline growth looked slow (7%) but ER&D and digital grew ~21% underneath, and profit tripled from ₹11 cr to ₹34 cr	Delivered
FY24 (Q4)	Q4 margin of 8.2% blamed on one-time costs; promised to "bounce back to double-digit EBITDA and constantly improving"	Delivered over time — margin reached 13–15% through FY26, the best in company history	Delivered
FY25	Guidance of double-digit revenue and double-digit EBITDA growth annually	Missed. FY25 revenue grew only ~4% (₹472 cr → ₹491 cr) and profit <i>fell</i> from ₹34 cr to ₹27 cr	Missed
FY26	Same guidance repeated	Beaten decisively. Revenue +10.5% to ₹550 cr, EBITDA +60.9%, PAT +72.3%, margin a record 13.2%, cash a record ₹127.3 cr	Delivered (over)
FY24 onward	Benchmark of "75 customers to deliver ₹800 cr of revenue"	Revenue is ₹550 cr two years on — the framework is still cited but the number has not been reached	Pending
Several calls	Aspiration of mid-to-high-teens EBITDA margin		Pending

		Best achieved is 13.2% (FY26); currently 12.3%. Directionally right, repeatedly discussed, not yet reached	
FY26–FY27	Buyback to be executed, with promoters <i>not</i> participating	Completed in Q1 FY27 exactly as committed , promoters abstained	Delivered
FY26	Expand Chennai capacity, which was fully occupied and blocking hiring	Delivered — new space added, target of 2,000 people in Chennai	Delivered
Q1 FY27	—	Revenue reported year-on-year (+11.5%), profit reported sequentially (+16.9%). Year-on-year, profit and margin both declined — a framing choice, not a misstatement	Selective framing

Narrative drift: The strategy has been remarkably steady across three years of calls and one voice — the Managing Director presents essentially alone every quarter. The same four themes recur without variation: exit low-value work, mine existing accounts, move delivery offshore, grow profit faster than revenue. Nothing has been quietly abandoned or reinvented, and several concrete commitments were honoured to the letter, most visibly the buyback with promoters standing aside. The record is not clean, though. FY25 badly missed the stated double-digit growth guidance on both revenue and profit, and while FY26 more than made up for it, the guidance itself is loose enough ("double-digit revenue and double-digit EBITDA growth, annually") to be hard to fail twice. The mid-to-high-teens margin ambition has been repeated for several years without arriving. And the presentation of the latest quarter is worth noting: leading with record revenue and a 16.9% *sequential* profit rise, when the year-on-year profit comparison was negative, is a choice about emphasis that a reader has to correct for themselves. It is not misleading — the numbers are all filed — but it is the one place in three years of otherwise plain-spoken commentary where the framing works harder than the facts.

5. Bottom line — two verdicts

Durable earning trigger? → YES

The driver is concrete, has been running for four years, and is measurable: profit compounding at more than twice the rate of revenue because the same ~2,500 engineers are being sold at higher value. Revenue CAGR 15.3% against EBITDA CAGR 35.4% with flat headcount is not a story, it is an outcome, and FY26 showed it at full strength — revenue up 10.5%, operating profit up 60.9%, net profit up 72.3%, margin and cash both at record levels. The forward evidence is unusually specific for a company this size: the FY27 order book already exceeds the whole of FY26's revenue, a ₹33 cr North American contract was booked in the quarter, and the count of million-dollar clients rose from 16 to 18. Structural demand is on its side too, with industrial customers spending on software-defined products, AI-enabled engineering and data-centre build-outs. Two real qualifications. First, the trigger did not work in the most recent quarter: ₹16 cr of extra year-on-year revenue yielded roughly ₹1 cr of extra operating profit, and net profit fell. Second, the whole thesis rests on 25 clients producing 88% of revenue, and the plan to grow those accounts makes that concentration worse, not better. The trigger is real and durable; it is not smooth.

Management consistent? → MAYBE

There is a lot to respect here. One executive has fronted every call for three years, the strategy has not wavered once, transcripts are filed promptly, and the hard commitments have been kept — the domestic staffing business was exited as promised, the margin was brought back into double digits as promised, Chennai capacity was expanded as promised, and the first-ever buyback was completed with promoters deliberately standing aside, exactly as stated. FY26 did not merely meet guidance, it crushed it. Against that, FY25 was a clear miss on the company's own stated benchmark: revenue grew about 4% against a promise of double-digit growth, and profit fell by a fifth. The mid-to-high-teens margin has been an aspiration for years and is still three to five percentage points away. The "75

customers, ₹800 cr" framework introduced in FY24 remains unmet. And in the latest quarter the good comparison was chosen for each line — revenue year-on-year, profit sequentially — in a way that made a quarter of falling year-on-year profit read as unambiguous progress. None of this is dishonest, and the direction of travel over four years is genuinely strong. But a Yes requires promises largely delivered *and* a straight account of the quarters when they were not, and on both counts the record here is good rather than clean.

Prepared from twelve Onward Technologies Ltd earnings-call transcripts, Q4 FY24 (17 May 2024) through Q1 FY27 (16 Jul 2026), sourced from Screener.in. **All financial figures are consolidated**, taken from Screener.in's consolidated statements and from management's own disclosures on the calls; Screener's default standalone series understates this business by roughly a quarter and should not be used for it.

This is not investment advice. Do your own due diligence.